

## Shopify

Expecting Upside to Guidance into 2Q Earnings; Focus on Growth Vectors, Gross Margins, Token Costs, & AI Leadership; Reit OW & Adding to Analyst Focus List

**We're bullish on Shopify shares & expect upside to guidance into 2Q26 earnings on Wednesday, 8/5.** SHOP shares are +29% off May lows (vs. SPX +1%) & investor sentiment is improving across GMV/Revenue growth trajectory, Gross Margin & token implications, & SHOP's broader AI strategy. We project solid GMV growth supported by strength across SMB cohorts, enterprise, geographies, & emerging channels (POS, B2B). While int'l growth & Enterprise volume ramp may prove more volatile, we believe SHOP's 2Q Revenue growth guide should prove conservative. **Chase Card data** suggests 2Q U.S. CNP growth of +11% Y/Y, acceleration vs. +10% Y/Y in 1Q, though there remains concern around macro uncertainty tied to recent geopolitical activity. We believe macro exposure is limited, w/~16% of GMV cross-border, of which ~50% involves US inbound/outbound. **We project 2026 Y/Y GMV growth of +29% (+28% FXN) & Revenue growth of +30% (+29% FXN).** Gross Margins continue to face headwinds from Merchant Solutions mix shift, AI/LLM costs, & growth initiatives. **We estimate** that AI/LLM costs could drive ~160bps & ~40bps Y/Y headwind to 2026 Subscription & Total Gross Margins, though SHOP could mitigate incremental headwinds through model mix & deeper merchant monetization. SHOP is realizing leverage across each expense line item while managing annual FCF margins in the high-teens %'s. **We project 2026 Gross Profit Dollar growth of +28% Y/Y, along with FCF margin of 18.0% (+60bps Y/Y).** 3P data suggests upside to 2Q GMV, though FX tailwinds (~50bps expected tailwind in 2Q vs. ~200bps in 1Q) & Y/Y comps become less favorable through the year. **We believe investors generally expect GMV growth of +31%-32% in 2Q & +28%-30% in 3Q, Revenue growth of +31%-32% in 2Q & +28%-30% in 3Q (i.e. High 20%'s guide), & Gross Profit Dollar growth of +28%-30% in 2Q & +27%-29% in 3Q (i.e. High 20%'s guide).**

Beyond fundamentals, there is debate whether META's [Business Agent & the Meta Business Agent Platform](#) could drive meaningful competitive risk. However, our [checks](#) suggest merchants are likely hesitant to enable large platforms, such as Meta, Google, and Amazon, to fully manage storefronts given less favorable cost structures (vs. SHOP), current reliance on advertising & e-commerce tools, & broader complexity managing storefronts. There are also investor concerns around [potential industry consolidation](#) & the competitive implications across Shop Pay's scale & growth outlook, though we believe SHOP's merchant & consumer adoption, data moat, & network advantages could prove challenging to replicate over time. Regarding agentic commerce, [Editions provided 150+ product updates](#) across the commerce stack, w/focus across agentic which should support merchant acquisition volume. **We continue to believe SHOP is well positioned as an AI beneficiary, w/ offerings across each layer of the agentic opportunity for e-commerce platforms — Traffic Channels, On-Platform, & Infrastructure — supported by SHOP's data stack built on 20+ years of commerce data, demand conversion flywheel, AI merchant solutions, UCP leadership, and ability to reduce complexity across the merchant ecosystem. We reiterate our Overweight rating & are establishing a December 2027 PT of \$155 based on ~19x 2028E Gross Profit of \$10.3B, further supported**

## Overweight

SHOP, SHOP US  
Price (21 Jul 26):\$123.03

▲ **Price Target (Dec-27):\$155.00**  
Prior (Dec-26):\$150.00



## Internet - Large Cap / Mid &amp; Small Cap

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## Quarterly Forecasts (FYE Dec)

| Adj. EPS (\$) | 2025A | 2026E | 2027E |
|---------------|-------|-------|-------|
| Q1            | 0.26  | 0.36A |       |
| Q2            | 0.35  | 0.41  |       |
| Q3            | 0.34  | 0.46  |       |
| Q4            | 0.48  | 0.65  |       |
| FY            | 1.43  | 1.88  | 2.33  |

## Style Exposure

| Quant Factors | Current %Rank | Hist %Rank (1=Top) |    |    |    |
|---------------|---------------|--------------------|----|----|----|
|               |               | 6M                 | 1Y | 3Y | 5Y |
| Value         | 85            | 89                 | 86 | 86 | 86 |
| Growth        | 14            | 24                 | 23 | 82 | 4  |
| Momentum      | 68            | 34                 | 24 | 2  | 24 |
| Quality       | 26            | 34                 | 17 | 64 | 8  |
| Low Vol       | 55            | 59                 | 64 | 84 | 67 |

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

## Price Performance



|     | YTD    | 1m    | 3m     | 12m    |
|-----|--------|-------|--------|--------|
| Abs | -23.6% | 13.0% | -6.2%  | -4.2%  |
| Rel | -33.3% | 12.9% | -12.5% | -23.3% |

## Company Data

|                             |              |
|-----------------------------|--------------|
| Shares O/S (mn)             | 1,303        |
| 52-week range (\$)          | 182.19-94.00 |
| Market cap (\$ mn)          | 160,352.10   |
| Exchange rate               | 1.00         |
| Free float (%)              | 99.6%        |
| 3M ADV (mn)                 | 10.04        |
| 3M ADV (\$ mn)              | 1,130.9      |
| Volatility (90 Day)         | 59           |
| Index                       | S&P 500      |
| BBG ANR (Buy   Hold   Sell) | -            |

## Key Metrics (FYE Dec)

| \$ in millions             | FY25A  | FY26E  | FY27E  |
|----------------------------|--------|--------|--------|
| <b>Financial Estimates</b> |        |        |        |
| Revenue                    | 11,556 | 14,964 | 18,431 |
| Adj. EBIT                  | 1,978  | 2,754  | 3,546  |
| Adj. EBITDA                | 2,009  | 2,789  | 3,585  |
| Adj. net income            | 1,864  | 2,469  | 3,088  |
| Adj. EPS                   | 1.43   | 1.88   | 2.33   |
| BBG EPS                    | -      | -      | -      |
| Cashflow from operations   | 2,033  | 2,718  | 3,364  |
| FCFF                       | 2,292  | 2,909  | 3,560  |
| <b>Margins and Growth</b>  |        |        |        |
| Revenue Growth Y/Y (%)     | 30.1%  | 29.5%  | 23.2%  |
| EBIT margin                | 17.1%  | 18.4%  | 19.2%  |
| EBIT Growth Y/Y (%)        | 33.0%  | 39.3%  | 28.7%  |
| EBITDA margin              | 17.4%  | 18.6%  | 19.4%  |
| EBITDA Growth Y/Y (%)      | 31.9%  | 38.8%  | 28.5%  |
| Net margin                 | 16.1%  | 16.5%  | 16.8%  |
| Adj. EPS growth            | 13.7%  | 31.5%  | 24.2%  |
| <b>Ratios</b>              |        |        |        |
| Adj. tax rate              | 13.8%  | 16.5%  | 17.2%  |
| Interest cover             | -      | -      | -      |
| Net debt/Equity            | -      | -      | -      |
| Net debt/EBITDA            | -      | -      | -      |
| ROE                        | 14.9%  | 18.3%  | 20.9%  |
| <b>Valuation</b>           |        |        |        |
| FCFF yield                 | 1.4%   | 1.8%   | 2.2%   |
| Dividend yield             | -      | -      | -      |
| EV/Revenue                 | 13.7   | 10.5   | 8.4    |
| EV/EBITDA                  | 79.0   | 56.4   | 43.1   |
| Adj. P/E                   | 86.1   | 65.5   | 52.7   |

## Summary Investment Thesis and Valuation

### Investment Thesis

Shopify is a leading commerce enablement & infrastructure platform providing 2M+ merchants across 175+ countries tools to establish, scale, & manage their businesses. Shopify serves as a unified operating system for commerce across channels, verticals, and geographies while providing support across each step of the merchant journey. We believe SHOP is well positioned to deliver 25%+ GMV & Revenue growth supported by: 1) e-commerce secular shift & product optimizations; 2) core SMB merchant adoption, along with the shift upmarket toward enterprises; 3) growth channels including Shop Pay, offline & B2B; 4) international expansion; 5) deeper Payments penetration; & 6) continued strong MRR growth, led by ramping Plus adoption. We project solid Operating Margin & FCF margin expansion supported by GMV & Revenue growth along with continued cost discipline/efficiencies.

### Valuation

We're establishing a December 2027 PT of \$155 (vs. prior \$150 Dec-26 PT) based on ~19x 2028E Gross Profit of \$10.3B. Our DCF model further supports an implied \$155 estimated value and employs a ~15% WACC and a +15% terminal growth rate.

## Performance Drivers



| Factors                         | 6M Corr | 1Y Corr |
|---------------------------------|---------|---------|
| <b>Market: MSCI US</b>          | 0.59    | 0.73    |
| <b>Sect: Technology</b>         | 0.11    | 0.19    |
| <b>Ind: Software &amp; Serv</b> | 0.30    | 0.13    |
| <b>Macro:</b>                   |         |         |
| US 10yr yield                   | -0.22   | -0.23   |
| US Dollar                       | 0.21    | 0.22    |
| Crude Oil                       | -0.25   | -0.17   |
| <b>Quant Styles:</b>            |         |         |
| Growth                          | 0.44    | 0.32    |
| Value                           | -0.30   | -0.26   |
| LowVol                          | -0.31   | -0.19   |

by our DCF model. We project 2025-2028 3-year CAGRs of +24% for GMV, +25% for Revenue, +23% for Gross Profit, +35% for Operating Income, & +27% for FCF. SHOP maintains a Rule of 40 financial profile (Revenue growth + FCF margin), which we view as best in class at a time when mega-cap tech peers face margin, capex, & FCF headwinds. Given SHOP's premium growth profile, secular leadership, & differentiated AI leadership, we are adding SHOP to the JPM Analyst Focus List as a Growth Idea. Please see our detailed preview table below and Figure 1 for our view of what we see as general buy-side expectations vs. JPMc/consensus and management guidance.



Table 1: SHOP 2Q26 Earnings Preview

| SHOP (Overweight, \$155 PT) |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Call Details                | <ul style="list-style-type: none"> <li>Wednesday, 8/5. 8:30AM ET Conference Call: <a href="https://shopify.com/investors">shopify.com/investors</a></li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Investor Sentiment          | <ul style="list-style-type: none"> <li><b>Improving, But Still Debated.</b> 3P data suggests upside to 2Q GMV, &amp; we believe investors continue to debate the timing &amp; contribution of Enterprise volume ramp &amp; durability of Int'l growth, especially as FX tailwinds (~50bps expected tailwind in 2Q vs. ~200bps in 1Q) &amp; Y/Y comps become less favorable through the year. Our conversations suggest improving investor sentiment, especially as US spending trends &amp; macro have proven resilient. However, there is concern around magnitude of Gross Profit Dollar growth, especially as Sidekick adoption drives higher token costs. <u>We believe investors generally expect GMV growth of +31%-32% in 2Q &amp; +28%-30% in 3Q, Revenue growth of +31%-32% in 2Q &amp; +28%-30% in 3Q (i.e. High 20%'s guide), &amp; Gross Profit Dollar growth of +28%-30% in 2Q &amp; +27%-29% in 3Q (i.e. High 20%'s guide).</u></li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Our View                    | <ul style="list-style-type: none"> <li><b>Remains Our Top Idea.</b> We project solid GMV growth supported by strength across SMB cohorts, enterprise, geographies, &amp; emerging channels (POS, B2B). <u>While int'l growth &amp; Enterprise volume ramp may prove more volatile, we believe SHOP's 2Q Revenue growth guide should prove conservative.</u> <b>Chase Card data</b> suggests 2Q U.S. CNP growth of +11% Y/Y, acceleration vs. +10% Y/Y in 1Q, though there remains concern around macro uncertainty tied to recent geopolitical activity. We believe macro exposure is limited, w/~16% of GMV cross-border, of which ~50% involves US inbound/outbound. <u>We project 2026 Y/Y GMV growth of +29% (+28% FXN) &amp; Revenue growth of +30% (+29% FXN).</u> 2Q Gross Profit Dollar growth is expected to decelerate to mid-20%'s (+32% in 1Q) and Gross Margins continue to face headwinds from Merchant Solutions mix shift, AI/LLM costs, &amp; growth initiatives. <u>We estimate</u> that AI/LLM costs could drive ~160bps &amp; ~40bps Y/Y headwind to 2026 Subscription &amp; Total Gross Margins, though SHOP could mitigate incremental headwinds through model mix &amp; deeper merchant monetization. SHOP is realizing leverage across each expense line item while managing annual FCF margins in the high-teens %'s. <u>We project 2026 Gross Profit Dollar growth of +28% Y/Y, along with FCF margin of 18.0% (+60bps Y/Y).</u> We expect capital returns under SHOP's ~\$1.5B authorized share repurchases.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Key Topics                  | <ul style="list-style-type: none"> <li><b>Agentic Commerce.</b> SHOP's data stack built on 20+ years of commerce data, demand conversion flywheel, AI merchant solutions, UCP leadership, and ability to reduce complexity across the merchant ecosystem should position <u>Shopify as a leader across agentic commerce.</u></li> <li><b>Macro.</b> SHOP's exposure to a less favorable macro environment is generally more limited, w/cross-border trade only accounting for ~16% of GMV in 1Q &amp; we believe growth was mostly volume driven during last year's elevated tariff environment.</li> <li><b>Enterprise.</b> Demand remains strong, &amp; the number of merchants generating \$100M+ GMV has grown ~2x over the past two years while revenue contribution has accordingly grown ~200bps+ over the past two years. <u>While SHOP is driving Enterprise client wins, we believe the timeline to fully scale &amp; integrate Enterprise merchants has remained broadly consistent around ~18 months.</u></li> <li><b>Int'l.</b> Europe 2Q GMV growth accelerated to +48% Y/Y (+35% FXN), up from +45% in 1Q, but Y/Y comps become meaningfully more challenging throughout 2026. After Shopify Payments launched in <u>15 new European markets</u> &amp; <u>Mexico</u> in 2025, we expect continued product expansion.</li> <li><b>Channels.</b> Offline GMV growth accelerated to +33% in 1Q (vs. +29% in 4Q), B2B GMV grew +80% Y/Y &amp; Shop App GMV increased +70% Y/Y. Shopify Payments processed \$67B of GMV in 1Q (+41% Y/Y) &amp; Shop Pay GMV grew +59% Y/Y to \$35B. <u>SHOP's new partner earning model</u> should incentivize agencies to onboard &amp; scale merchants.</li> <li><b>MRR.</b> We project MRR Y/Y growth of +18% in 2Q (vs. +16% in 1Q) &amp; +15% in 2026, &amp; we note 1Q was final quarter where SHOP faced Y/Y MRR growth headwinds from rollout of 3-month trials. <u>We estimate Plus price increases could drive ~\$90M+ incremental annualized Sub Solutions Revenue in '27, or ~50bps to annualized growth.</u></li> <li><b>Gross Profit.</b> Subscription Margins are benefitting from scale &amp; efficiencies, partially offset by increased AI costs. Gross Margin pressured by mix shift toward lower-margin Merchant Solutions.</li> <li><b>Sidekick.</b> Adoption remains strong, w/Weekly Active Shops growing +4x Y/Y in 1Q. Our <u>checks</u> suggest positive feedback across Sidekick, with opportunity to improve front-end capabilities.</li> </ul> |

Source: J.P. Morgan estimates, Company data, and Bloomberg Finance L.P.



Figure 1: SHOP – Summary of JPMe vs. Guide, Consensus, & Buyside Bar

In millions, except per share data

|                                   | Mgmt Guide    | Consensus | JPMe      | JPMe vs Consensus | Buyside Bar     |
|-----------------------------------|---------------|-----------|-----------|-------------------|-----------------|
| <b>GMV</b>                        |               |           |           |                   |                 |
| 2Q26E                             |               | \$112,033 | \$113,310 | 1.1%              | \$115B-\$116B   |
| 3Q26E                             |               | \$115,962 | \$116,857 | 0.8%              | \$118B-\$120B   |
| 2026E                             |               | \$483,255 | \$489,426 | 1.3%              |                 |
| <b>GMV Growth</b>                 |               |           |           |                   |                 |
| 2Q26E                             |               | 28%       | 29%       | 145 bps           | +31%-32%        |
| 3Q26E                             |               | 26%       | 27%       | 97 bps            | +28%-30%        |
| 2026E                             |               | 28%       | 29%       | 163 bps           |                 |
| <b>Revenue</b>                    |               |           |           |                   |                 |
| 2Q26E                             |               | \$3,449   | \$3,471   | 0.6%              | \$3.51B-\$3.54B |
| 3Q26E                             |               | \$3,603   | \$3,609   | 0.2%              | \$3.64B-\$3.70B |
| 2026E                             |               | \$14,825  | \$14,964  | 0.9%              |                 |
| <b>Revenue Growth</b>             |               |           |           |                   |                 |
| 2Q26E                             | High-20%'s    | 29%       | 30%       | 83 bps            | +31%-32%        |
| 3Q26E                             |               | 27%       | 27%       | 21 bps            | +28%-30%        |
| 2026E                             |               | 28%       | 29%       | 120 bps           |                 |
| <b>Gross Profit Dollar Growth</b> |               |           |           |                   |                 |
| 2Q26E                             | Mid-20%'s     | 26%       | 26%       | 6 bps             | +28%-30%        |
| 3Q26E                             |               | 24%       | 25%       | 100 bps           | +27%-29%        |
| 2026E                             |               | 27%       | 28%       | 88 bps            |                 |
| <b>Free Cash Flow Margin</b>      |               |           |           |                   |                 |
| 2Q26E                             | Mid-Teens %'s | 16%       | 16%       | 34 bps            | 16%-17%         |
| 3Q26E                             |               | 18%       | 18%       | 50 bps            | 18%-19%         |
| 2026E                             |               | 17%       | 18%       | 52 bps            |                 |

Source: Company reports, J.P. Morgan estimates, and Bloomberg Finance L.P. Buyside Sentiment Based on JPM Conversations & Industry Checks.

## JPM Chase Card Data

Figure 2: Chase Card Data Suggests Card Not Present Spending 2Q Growth Acceleration to +11%

|                                    | 1Q25 | 2Q25 | 3Q25 | 4Q25 | Jan-26 | Feb-26 | Mar-26 | 1Q26 | Apr-26 | May-26 | Jun-26 | 2Q26 |
|------------------------------------|------|------|------|------|--------|--------|--------|------|--------|--------|--------|------|
| Total spending                     | 4%   | 4%   | 6%   | 5%   | 5%     | 6%     | 7%     | 6%   | 7%     | 7%     | 7%     | 7%   |
| Total travel and entertainment     | 2%   | 2%   | 5%   | 3%   | 7%     | 7%     | 6%     | 6%   | 8%     | 5%     | 7%     | 6%   |
| Total, excluding gas stations      | 5%   | 5%   | 6%   | 5%   | 6%     | 7%     | 7%     | 6%   | 6%     | 6%     | 6%     | 6%   |
| Card not present                   | 10%  | 10%  | 11%  | 8%   | 10%    | 10%    | 10%    | 10%  | 10%    | 10%    | 11%    | 11%  |
| Card present                       | (2%) | (1%) | 1%   | 1%   | (0%)   | 1%     | 3%     | 1%   | 3%     | 3%     | 2%     | 3%   |
| Discretionary                      | 4%   | 4%   | 7%   | 5%   | 7%     | 8%     | 8%     | 7%   | 7%     | 7%     | 7%     | 7%   |
| Discretionary, Card not present    | 8%   | 8%   | 10%  | 8%   | 10%    | 11%    | 11%    | 10%  | 11%    | 11%    | 12%    | 12%  |
| Nondiscretionary                   | 5%   | 3%   | 4%   | 3%   | 3%     | 3%     | 6%     | 4%   | 6%     | 7%     | 6%     | 7%   |
| Nondiscretionary, Card not present | 18%  | 15%  | 13%  | 9%   | 10%    | 9%     | 8%     | 9%   | 9%     | 8%     | 7%     | 8%   |
| Airlines                           | (5%) | (9%) | (2%) | (5%) | 2%     | 3%     | 8%     | 4%   | 3%     | 8%     | 9%     | 6%   |
| Business to Business               | 1%   | 1%   | 1%   | 1%   | 8%     | 7%     | 3%     | 6%   | 2%     | 3%     | 8%     | 3%   |
| Health Care & Pharmacies           | 9%   | 7%   | 7%   | 6%   | 7%     | 8%     | 8%     | 7%   | 8%     | 7%     | 7%     | 8%   |
| Lodging                            | (1%) | (2%) | 1%   | 1%   | 3%     | 3%     | 2%     | 3%   | 5%     | 0%     | 3%     | 2%   |
| Restaurants                        | 3%   | 4%   | 6%   | 4%   | 5%     | 7%     | 6%     | 6%   | 5%     | 4%     | 3%     | 4%   |
| Supermarkets                       | 3%   | 3%   | 4%   | 2%   | 0%     | 1%     | 0%     | 0%   | 0%     | 1%     | (0%)   | 1%   |
| Wholesale Clubs & Discount Stores  | 6%   | 6%   | 6%   | 5%   | 5%     | 7%     | 9%     | 7%   | 5%     | 5%     | 2%     | 5%   |

Source: JPMorgan Chase Bank, NA, JPMC Index File 1.0, select Chase credit and debit card transaction data.



## Census Bureau Business Applications

Figure 3: Business Formations Grew +15% Y/Y in 2Q, Slightly Slower vs. +18% in 1Q But w/Greater Absolute Levels

In Thousands, Seasonally Adjusted

|              | Jan-25 | Feb-25 | Mar-25 | 1Q25  | Apr-25 | May-25 | Jun-25 | 2Q25  | 3Q25  | 4Q25  | Jan-26 | Feb-26 | Mar-26 | 1Q26  | Apr-26 | May-26 | Jun-26 | 2Q26  |
|--------------|--------|--------|--------|-------|--------|--------|--------|-------|-------|-------|--------|--------|--------|-------|--------|--------|--------|-------|
| Applications | 386    | 433    | 461    | 1,279 | 456    | 449    | 460    | 1,364 | 1,464 | 1,532 | 526    | 496    | 494    | 1,516 | 507    | 525    | 531    | 1,564 |
| Y/Y Growth   | -14%   | -3%    | 7%     | -3%   | 6%     | 5%     | 5%     | 5%    | 14%   | 15%   | 36%    | 15%    | 7%     | 18%   | 11%    | 17%    | 16%    | 15%   |

Source: US Department of Commerce, J.P. Morgan.

## Shopify Website Traffic Data

Figure 4: Shopify.com SimilarWeb Global Trends — Strong 2Q Website Visits & Unique Visitors Y/Y Growth & into July

Y/Y Rates

|                 | 2Q24 | 3Q24 | 4Q24 | Jan-25 | Feb-25 | Mar-25 | 1Q25 | Apr-25 | May-25 | Jun-25 | 2Q25 | 3Q25 | 4Q25 | Jan-26 | Feb-26 | Mar-26 | 1Q26 | Apr-26 | May-26 | Jun-26 | 2Q26 | Jul-26 |
|-----------------|------|------|------|--------|--------|--------|------|--------|--------|--------|------|------|------|--------|--------|--------|------|--------|--------|--------|------|--------|
| Website Visits  | 43%  | 18%  | 24%  | 21%    | 23%    | 25%    | 23%  | 29%    | 27%    | 30%    | 29%  | 31%  | 43%  | 49%    | 48%    | 48%    | 48%  | 43%    | 50%    | 53%    | 49%  | 48%    |
| Unique Visitors | 19%  | 24%  | 38%  | 34%    | 35%    | 39%    | 36%  | 43%    | 42%    | 42%    | 43%  | 41%  | 51%  | 58%    | 57%    | 53%    | 56%  | 49%    | 57%    | 60%    | 55%  | 57%    |

Source: SimilarWeb. Note: Reflects data pulled on 7/20/26 and data could be restated.

## Shop App Data

Figure 5: Shop App Global Trends — Broadly Accelerating 2Q & Strong July Trends Across MAUs, DAUs, & DLs

Y/Y Rates

|      | 1Q24 | 2Q24 | 3Q24 | 4Q24 | Jan-25 | Feb-25 | Mar-25 | 1Q25 | Apr-25 | May-25 | Jun-25 | 2Q25 | 3Q25 | 4Q25 | Jan-26 | Feb-26 | Mar-26 | 1Q26 | Apr-26 | May-26 | Jun-26 | 2Q26 | Jul-26 |
|------|------|------|------|------|--------|--------|--------|------|--------|--------|--------|------|------|------|--------|--------|--------|------|--------|--------|--------|------|--------|
| DLs  | 8%   | -9%  | -9%  | 10%  | 8%     | 16%    | 41%    | 22%  | 36%    | 48%    | 44%    | 43%  | 70%  | 129% | 144%   | 127%   | 130%   | 134% | 124%   | 150%   | 119%   | 131% | 112%   |
| MAUs | 31%  | 22%  | 12%  | 18%  | 20%    | 21%    | 29%    | 23%  | 27%    | 22%    | 24%    | 24%  | 29%  | 35%  | 40%    | 33%    | 27%    | 33%  | 29%    | 41%    | 39%    | 36%  | 38%    |
| DAUs | 23%  | 12%  | 1%   | 8%   | 10%    | 18%    | 27%    | 18%  | 28%    | 23%    | 29%    | 27%  | 30%  | 40%  | 39%    | 35%    | 29%    | 34%  | 27%    | 40%    | 42%    | 37%  | 31%    |

Source: Sensor Tower. Note: Reflects data pulled on 7/20/26 and data could be restated.

## Investment Thesis, Valuation and Risks

### Shopify (Overweight; Price Target: \$155.00)

#### Investment Thesis

Shopify is a leading commerce enablement & infrastructure platform providing 2M+ merchants across 175+ countries tools to establish, scale, & manage their businesses. Shopify serves as a unified operating system for commerce across channels, verticals, and geographies while providing support across each step of the merchant journey. We believe SHOP is well positioned to deliver 25%+ GMV & Revenue growth supported by: 1) e-commerce secular shift & product optimizations; 2) core SMB merchant adoption, along with the shift upmarket toward enterprises; 3) growth channels including Shop Pay, offline & B2B; 4) international expansion; 5) deeper Payments penetration; & 6) continued strong MRR growth, led by ramping Plus adoption. We project solid Operating Margin & FCF margin expansion supported by GMV & Revenue growth along with continued cost discipline/efficiencies.

#### Valuation

We're establishing a December 2027 PT of \$155 (vs. prior \$150 Dec-26 PT) based on ~19x 2028E Gross Profit of \$10.3B. Our DCF model further supports an implied \$155 estimated value and employs a ~15% WACC and a +15% terminal growth rate.

#### Risks to Rating and Price Target

Risks to downside include: **1)** Secular shift toward e-commerce slows, limiting GMV, GPV, and Revenue growth; **2)** GMV & Revenue growth decelerate faster than expected; **3)** Agentic commerce & AI/LLM platforms disrupt the e-commerce industry; **4)** Product velocity slows & SHOP cannot drive greater merchant acquisition & adoption of solutions; **5)** Softer consumer spending & sentiment weigh on e-commerce demand and merchant budgets; & **6)** SHOP is balancing margin expansion with growth investments, limiting Operating & FCF margins.

## Shopify: Summary of Financials

| Income Statement - Annual           |         |         |         |         |       | Income Statement - Quarterly |          |         |         |         |       |
|-------------------------------------|---------|---------|---------|---------|-------|------------------------------|----------|---------|---------|---------|-------|
|                                     | FY24A   | FY25A   | FY26E   | FY27E   | FY28E |                              | 1Q26A    | 2Q26E   | 3Q26E   | 4Q26E   |       |
| Revenue                             | 8,880   | 11,556  | 14,964  | 18,431  | -     | Revenue                      | 3,170A   | 3,471   | 3,609   | 4,715   |       |
| COGS                                | (4,408) | (6,001) | (7,880) | (9,815) | -     | COGS                         | (1,624)A | (1,827) | (1,869) | (2,560) |       |
| Gross profit                        | 4,472   | 5,555   | 7,085   | 8,616   | -     | Gross profit                 | 1,546A   | 1,644   | 1,740   | 2,155   |       |
| SG&A                                | (1,711) | (1,975) | (2,424) | (2,857) | -     | SG&A                         | (571)A   | (614)   | (588)   | (651)   |       |
| Adj. EBITDA                         | 1,523   | 2,009   | 2,789   | 3,585   | -     | Adj. EBITDA                  | 530A     | 575     | 687     | 997     |       |
| D&A                                 | (36)    | (31)    | (34)    | (39)    | -     | D&A                          | (7)A     | (9)     | (9)     | (10)    |       |
| Adj. EBIT                           | 1,487   | 1,978   | 2,754   | 3,546   | -     | Adj. EBIT                    | 523A     | 567     | 678     | 987     |       |
| Net Interest                        | 308     | 331     | 262     | 272     | -     | Net Interest                 | 75A      | 81      | 54      | 52      |       |
| Adj. PBT                            | 2,640   | 2,019   | 1,926   | 3,818   | -     | Adj. PBT                     | (493)A   | 648     | 731     | 1,040   |       |
| Tax                                 | (209)   | (278)   | (319)   | (656)   | -     | Tax                          | 53A      | (95)    | (110)   | (167)   |       |
| Minority Interest                   | -       | -       | -       | -       | -     | Minority Interest            | -        | -       | -       | -       |       |
| Adj. Net Income                     | 1,635   | 1,864   | 2,469   | 3,088   | -     | Adj. Net Income              | 471A     | 537     | 605     | 855     |       |
| Reported EPS                        | 1.54    | 0.95    | 0.76    | 1.87    | -     | Reported EPS                 | (0.45)A  | 0.31    | 0.36    | 0.54    |       |
| Adj. EPS                            | 1.26    | 1.43    | 1.88    | 2.33    | -     | Adj. EPS                     | 0.36A    | 0.41    | 0.46    | 0.65    |       |
| DPS                                 | -       | -       | -       | -       | -     | DPS                          | -        | -       | -       | -       |       |
| Payout ratio                        | -       | -       | -       | -       | -     | Payout ratio                 | -        | -       | -       | -       |       |
| Shares outstanding                  | 1,302   | 1,305   | 1,314   | 1,323   | -     | Shares outstanding           | 1,303A   | 1,314   | 1,314   | 1,325   |       |
| Balance Sheet & Cash Flow Statement | FY24A   | FY25A   | FY26E   | FY27E   | FY28E | Ratio Analysis               | FY24A    | FY25A   | FY26E   | FY27E   | FY28E |
| Cash and cash equivalents           | 1,498   | 1,545   | 2,962   | 5,796   | -     | Gross margin                 | 50.4%    | 48.1%   | 47.3%   | 46.7%   | -     |
| Accounts receivable                 | 342     | 500     | 660     | 829     | -     | EBITDA margin                | 17.2%    | 17.4%   | 18.6%   | 19.4%   | -     |
| Inventories                         | -       | -       | -       | -       | -     | EBIT margin                  | 16.7%    | 17.1%   | 18.4%   | 19.2%   | -     |
| Other current assets                | 1,775   | 2,518   | 2,846   | 3,063   | -     | Net profit margin            | 18.4%    | 16.1%   | 16.5%   | 16.8%   | -     |
| Current assets                      | 7,254   | 8,296   | 9,703   | 12,754  | -     | ROE                          | 15.9%    | 14.9%   | 18.3%   | 20.9%   | -     |
| PP&E                                | -       | -       | -       | -       | -     | ROA                          | 13.0%    | 12.8%   | 16.2%   | 18.3%   | -     |
| LT investments                      | -       | -       | -       | -       | -     | ROCE                         | 12.7%    | 13.6%   | 17.1%   | 19.9%   | -     |
| Other non current assets            | 6,648   | 6,863   | 5,605   | 5,613   | -     | SG&A/Sales                   | 19.3%    | 17.1%   | 16.2%   | 15.5%   | -     |
| Total assets                        | 13,924  | 15,189  | 15,345  | 18,417  | -     | Net debt/equity              | -        | -       | -       | -       | -     |
| Short term borrowings               | -       | -       | -       | -       | -     | P/E (x)                      | 97.9     | 86.1    | 65.5    | 52.7    | -     |
| Payables                            | 737     | 1,075   | 1,296   | 1,659   | -     | P/BV (x)                     | -        | -       | -       | -       | -     |
| Other short term liabilities        | 1,219   | 317     | 346     | 385     | -     | EV/EBITDA (x)                | 104.3    | 79.0    | 56.4    | 43.1    | -     |
| Current liabilities                 | 1,956   | 1,392   | 1,643   | 2,043   | -     | Dividend Yield               | -        | -       | -       | -       | -     |
| Long-term debt                      | -       | -       | -       | -       | -     | Sales/Assets (x)             | 0.7      | 0.8     | 1.0     | 1.1     | -     |
| Other long term liabilities         | 410     | 324     | 249     | 249     | -     | Interest cover (x)           | -        | -       | -       | -       | -     |
| Total liabilities                   | 2,366   | 1,716   | 1,892   | 2,292   | -     | Operating leverage           | 349.7%   | 109.6%  | 133.1%  | 124.0%  | -     |
| Shareholders' equity                | 11,558  | 13,473  | 13,454  | 16,125  | -     | Revenue y/y Growth           | 25.8%    | 30.1%   | 29.5%   | 23.2%   | -     |
| Minority interests                  | -       | -       | -       | -       | -     | EBITDA y/y Growth            | 79.0%    | 31.9%   | 38.8%   | 28.5%   | -     |
| Total liabilities & equity          | 13,924  | 15,189  | 15,345  | 18,417  | -     | Tax rate                     | 7.9%     | 13.8%   | 16.5%   | 17.2%   | -     |
| BVPS                                | -       | -       | -       | -       | -     | Adj. Net Income y/y Growth   | 72.7%    | 14.0%   | 32.5%   | 25.1%   | -     |
| y/y Growth                          | -       | -       | -       | -       | -     | EPS y/y Growth               | 72.1%    | 13.7%   | 31.5%   | 24.2%   | -     |
| Net debt/(cash)                     | -       | -       | -       | -       | -     | DPS y/y Growth               | -        | -       | -       | -       | -     |
| Cash flow from operating activities | 1,616   | 2,033   | 2,718   | 3,364   | -     |                              |          |         |         |         |       |
| o/w Depreciation & amortization     | 36      | 31      | 34      | 39      | -     |                              |          |         |         |         |       |
| o/w Changes in working capital      | (166)   | (117)   | 107     | 184     | -     |                              |          |         |         |         |       |
| Cash flow from investing activities | (1,586) | (1,190) | 287     | (30)    | -     |                              |          |         |         |         |       |
| o/w Capital expenditure             | (19)    | (26)    | (28)    | (30)    | -     |                              |          |         |         |         |       |
| as % of sales                       | 0.2%    | 0.2%    | 0.2%    | 0.2%    | -     |                              |          |         |         |         |       |
| Cash flow from financing activities | 61      | (811)   | (1,585) | (500)   | -     |                              |          |         |         |         |       |
| o/w Dividends paid                  | -       | -       | -       | -       | -     |                              |          |         |         |         |       |
| o/w Net debt issued/(repaid)        | 0       | (1,043) | 0       | 0       | -     |                              |          |         |         |         |       |
| Net change in cash                  | 85      | 47      | 1,417   | 2,834   | -     |                              |          |         |         |         |       |
| Adj. Free cash flow to firm         | 1,881   | 2,292   | 2,909   | 3,560   | -     |                              |          |         |         |         |       |
| y/y Growth                          | 107.8%  | 21.9%   | 26.9%   | 22.4%   | -     |                              |          |         |         |         |       |

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which



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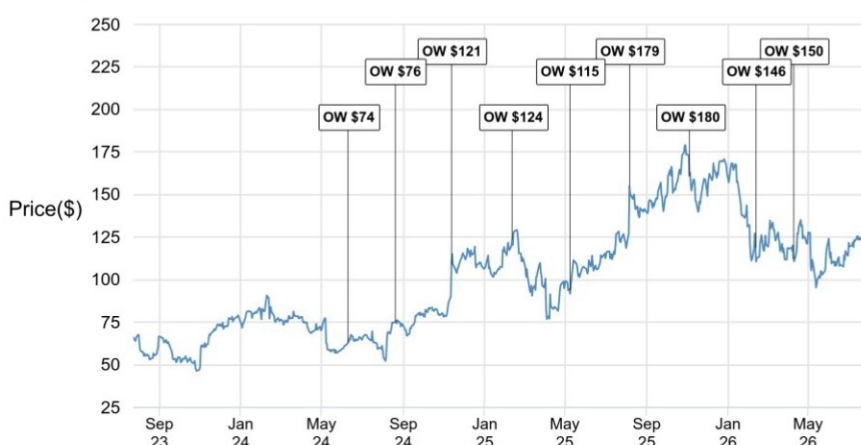
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Shopify (SHOP, SHOP US) Price Chart



| Date      | Rating | Price (\$) | Price Target (\$) |
|-----------|--------|------------|-------------------|
| 11-Jun-24 | OW     | 63.01      | 74                |
| 20-Aug-24 | OW     | 75.16      | 76                |
| 13-Nov-24 | OW     | 108.92     | 121               |
| 12-Feb-25 | OW     | 123.59     | 124               |
| 09-May-25 | OW     | 94.00      | 115               |
| 07-Aug-25 | OW     | 154.90     | 179               |
| 05-Nov-25 | OW     | 160.94     | 180               |
| 12-Feb-26 | OW     | 118.71     | 146               |
| 10-Apr-26 | OW     | 112.38     | 150               |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Jun 11, 2024. All share prices are as of market close on the previous business day.

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